

Alberta's AI data centre gamble: Investment or local burden? | Financial Post

Category: Ontario MPAC Shell vs. Contents & Canadian Taxation | Evidence
ID: #109

Archived: 2026-10-04 20:16

- **Original URL:** <https://financialpost.com/technology/alberta-ai-data-centre-investment-local-burden>
 - **Research Category:** Ontario MPAC Shell vs. Contents & Canadian Taxation
 - **Archival File:** 109_financialpost_com_technology_alberta-ai-data-centre-inv.pdf
 - **Extraction Status:** Full Web Transcript PDF
-

Source Content

Alberta's AI data centre gamble: Big investment or local burden? New public sessions will address power, water and costs while Meta builds a \$13 billion facility in Sturgeon County and local opposition becomes more visible Alberta's push to become a major home for artificial intelligence infrastructure has entered a new phase. After courting investors, the province is now trying to convince residents that data centre growth can be managed without shifting costs or risks onto nearby communities. That public case arrives at a sensitive moment. Meta Platforms Inc.'s \$13 billion AI data centre in Sturgeon County is already under construction, and a recent protest in Morinville brought concerns about water, electricity costs, environmental effects and consultation into sharper view. Alberta has now launched a new information website and a series of public town halls. Sessions begin Aug. 19 in central Alberta, followed by a Sturgeon County event on Aug. 20. A virtual meeting is scheduled for Aug. 27, with another gathering planned for Grande Prairie in September. Those meetings will explain Alberta's data centre strategy and gather public input. They are not approval hearings for Meta's campus or any other individual project. Each development can face a different mix of municipal, utility, water and environmental decisions. Meta's project shows why the subject has become urgent. Company plans call for a one gigawatt campus about 35 kilometres north of Edmonton, making it the first Meta data centre in Canada. Meta projects around 3,000 workers at the peak of construction and more than 300 permanent jobs once the facility is operating. It has also committed about \$60 million for local road and water infrastructure. Alberta forecasts roughly \$250 million a year in royalties, taxes, levies and transmission fees connected with the project. Those figures make a powerful economic pitch, but they remain projections. Construction jobs are temporary, permanent employment is much smaller, and public benefits will depend on whether the campus reaches its planned scale. Power may be the most difficult part of the wider strategy. - Why Canada's clean technology tax credit is facing delays - Why oilsands majors are holding back on expansion - Advertisement 1Story continues below Interest from developers has moved far beyond what Alberta's grid can absorb at once. Provincial figures based on the July 30 connection list put requested data centre load at about 19,565 megawatts, more than the highest demand the province has recorded in a single hour. Many requests are preliminary and may never become operating projects, but the total shows why every proposal cannot connect. Alberta Electric System Operator set an interim limit of 1,200 megawatts for the first round. A 970 megawatt Meta related load and a 230 megawatt Keephills project received that allocation and signed load contracts. Both still have to proceed through the connection process, while other requests move into the next phase. Government policy favours

projects that bring new power generation or storage. Meta's campus is paired with a privately financed natural gas power plant planned next door and a grid connection. Premier Danielle Smith says data centres will pay for their own electricity, connections and infrastructure. That is the province's policy promise. Whether it works as intended will depend on contracts, regulatory decisions and each project's final design. Alberta expects Meta's transmission payments to reduce the transmission portion of household bills, but that is a government forecast, not a guaranteed reduction in every family's total bill. Water raises a similar need for project specific answers. Meta says sealed liquid loops and dry cooling will avoid water use for routine cooling at its Sturgeon County campus. Water will still be needed for workers, fire protection and equipment maintenance. Meta compares its projected annual operational use with less than one typical golf course. Future proposals may use different technology or seek water from different sources. Alberta's Water Act requires authorization for surface or groundwater use, while a developer could also pursue a transferred licence or municipal supply where available. Residents directly affected by an application can file a statement of concern during the public notice period. Local unease is not limited to resource use. Some Sturgeon County residents have said they learned too little before construction began. County officials have pointed to earlier public opportunities when data centres were added to local land use rules. Following a legal process does not always leave residents feeling meaningfully consulted. Alberta's town halls may answer broad questions, but formal influence usually comes through other channels. Municipal councils handle zoning and development decisions. Alberta Utilities Commission reviews power plants. Environmental and water applications have separate notice periods and appeal rules. A separate Crossfield area proposal showed that local reaction can still alter plans. Its developer withdrew the site this spring after opposition, without either Crossfield or Rocky View County formally rejecting it. Alberta has moved quickly from attracting investment to managing public expectations. Economic opportunity is easy to describe: private capital, construction work, taxes and a new market for provincial energy. Harder questions are local and specific. Residents want to know what will be built, what resources it will use, who pays if plans change and when their input can affect the result. Town halls can begin that conversation. Confidence will depend on what happens afterward, when broad promises meet individual project filings. • Email: dtrainer@postmedia.com Postmedia is committed to maintaining a lively but civil forum for discussion. Please keep comments relevant and respectful. Comments may take up to an hour to appear on the site. You will receive an email if there is a reply to your comment, an update to a thread you follow or if a user you follow comments. Visit our [Community Guidelines](#) for more information.